

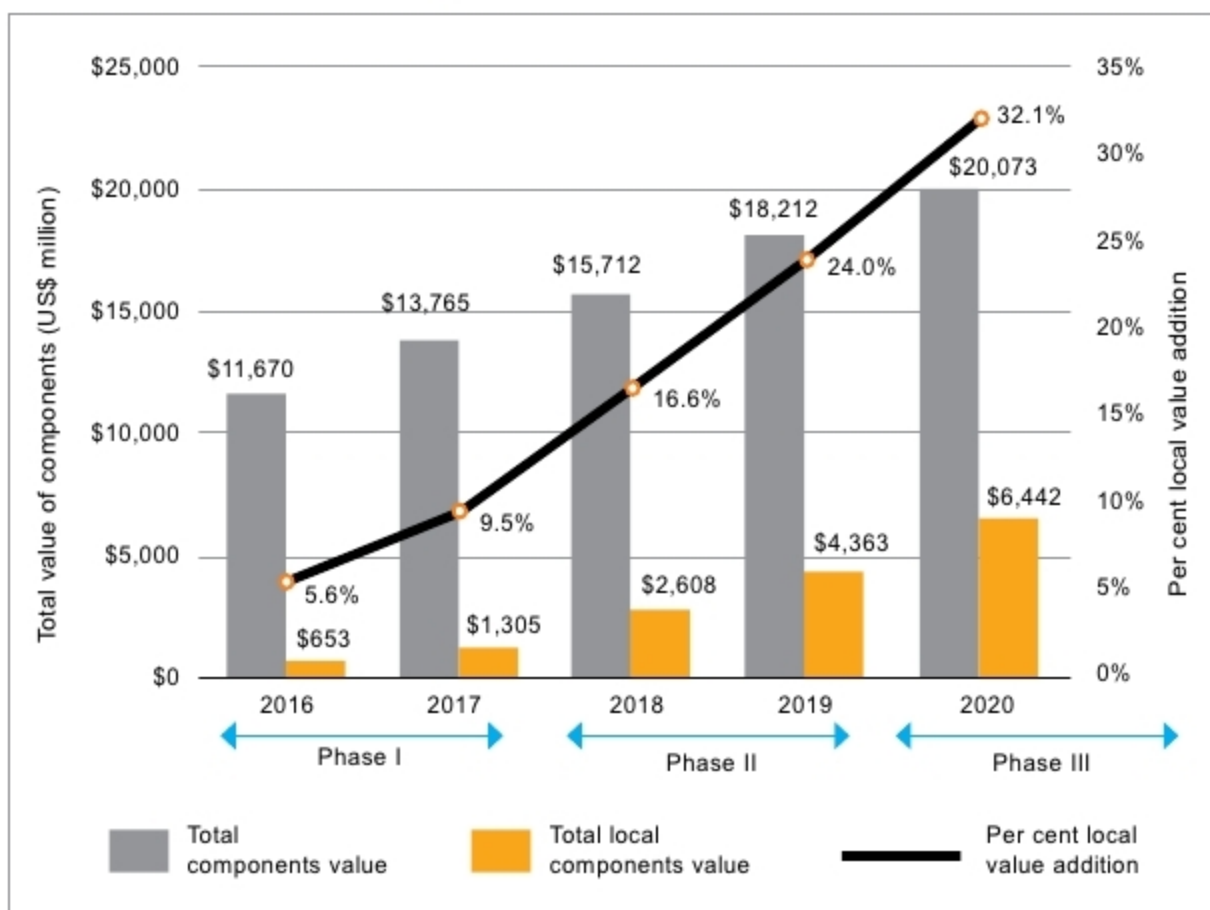


Fig. 2: Forecast on total local value addition under PMP (Source: IIM-B and Counterpoint Research)

is anticipated to become an export-inclined industry by then. The industry will create 4.7 million opportunities with respect to jobs in India.

India's large domestic market is an attractive option for global manufacturers looking for an alternative market. In China, widespread design and manufacture of low-end electronics seems to be drawing to a close as cost of engineering and labour is steadily rising. On the other hand, India has a high availability of skilled manpower at much lower wages.

Mobile manufacturing in India is growing. Today, India has 268 manufacturing units of cellphones as well as accessories, as against only two units found in 2014. This accounts for the fact that 95 per cent of total mobile handsets sold in the country are made in India. This is one industry where Make in India drive is working wonders. According to a study conducted by IIM Bangalore (IIM-B) and Counterpoint Research, the market share of locally-manufactured cellphones (versus imported) is estimated to reach 96 per cent by 2020 (Fig. 1).

Adding domestic value

Introduction of various policy incentives such as PMP and the presence of huge domestic demand will help promote domestic manufacturing of cellphones by providing tax relief and

other incentives on components and accessories used for these devices.

However, the level of maturity in manufacturing realised till date is restricted to manual semi-knocked-down (SKD)-level assembly. True local value addition in manufacturing and sourcing components is still not satisfactory (Fig. 2).

India can truly emerge as the mobile manufacturing hub of the world only if domestic value addition (which includes local sourcing, assembly, etc) can reach at least fifty per cent within the next few years. It is worth mentioning here that localisation of components in China is more than seventy per cent.

Huge domestic consumption and policy reforms, such as effective duties on key components along with attractive incentive structures, will drive domestic value addition through component sourcing as well as create a demand for electronics manufacturing services in India. The IIM-B and Counterpoint joint study estimates that local sourcing of level A components and sub-components as well as localisation of assembling/manufacturing services will result in greater value addition—more than thirty per cent by 2020, with a potential to grow to as much as fifty per cent thereafter (Fig. 2). This will result not only in significant savings in foreign exchange

and in creating over a million direct and indirect jobs but will also boost the entire ESDM ecosystem.

In the next five years, greater investments in industrial design, PCB design and SMT line assembly would help drive this growth; although, many of the major silicon components will continue to be sourced from overseas. However, complete localisation of major sub-components—chargers, batteries and cameras—can be made possible soon.

Market trends

Large multinationals are choosing India as their secondary manufacturing base apart from the one they have in their respective nations and China. Not only this, India has also become the point of transport for such companies to African and other Middle Eastern countries. This has been made possible due to the logistics edge that India offers. All these factors are making big companies think about India and influencing market trends pertaining to cellphones.

Intense competition among cellphone manufacturers is driving down the price of cellphones, which is helping in increased penetration across the country. Smartphones are expected to outrun feature phones in India.

According to an IDC report, the Indian smartphone market has registered the highest second-quarter shipments in the second quarter of 2019 (shown in the table above). "Despite efforts towards multi-channel retailing by almost all vendors, the online channel continued its growth momentum fuelled by multiple new launches, attractive offers and affordability schemes like EMIs/cashbacks. This resulted in YoY growth of 12.4 per cent for the online channel with an overall share of 36.8 per cent in the second quarter of 2019," says Upasana Joshi, associate research manager - client devices, IDC India.

Offline channel registered an 8.5 per cent YoY growth driven by new launches in Samsung Galaxy A series, marketing activities by Vivo during IPL (Indian Cricket League) and Xiaomi's growing multi-channel distribution.

Overall market average selling price (ASP) stood at US\$ 159 in the second quarter of 2019 with 78 per